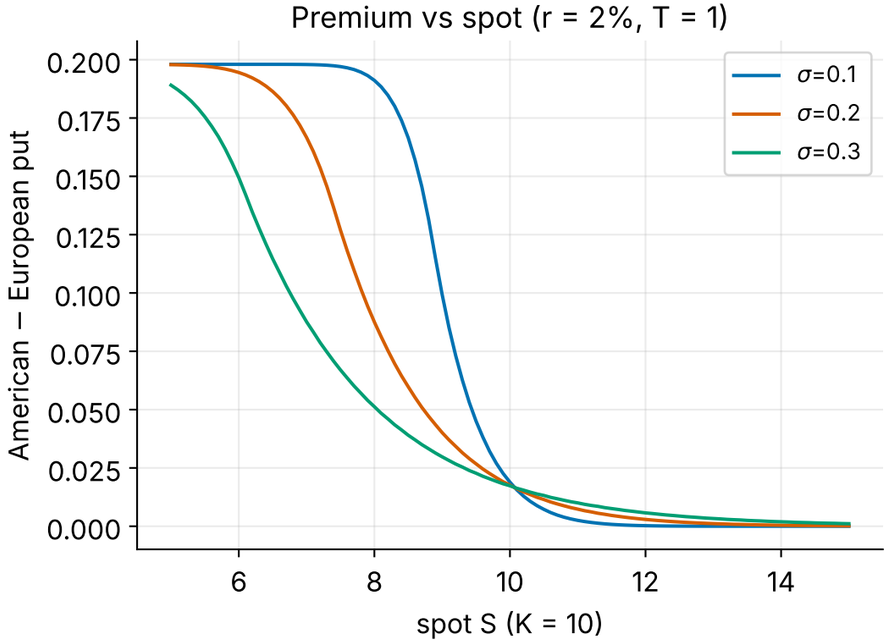
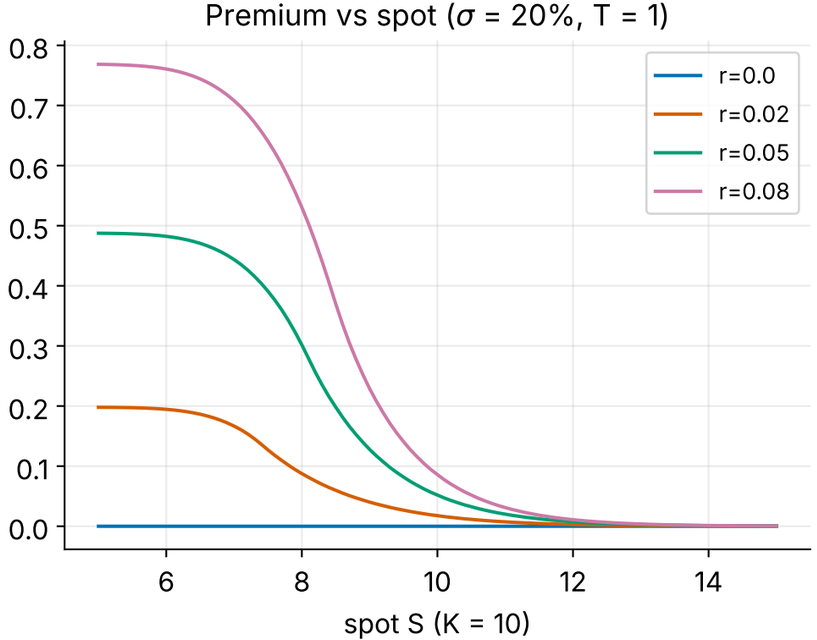
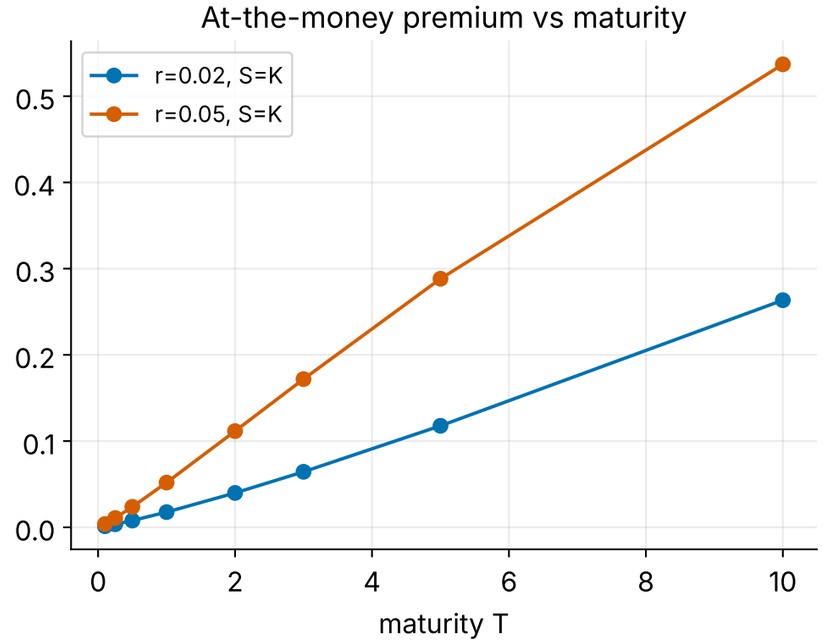

Premium vs spot (r = 2%, T = 1)
σ=0.1
σ=0.2
σ=0.3
American − European put
0.200
0.175
0.150
0.125
0.100
0.075
0.050
0.025
0.000
6
8
10
12
14
spot S (K = 10)


Premium vs spot (σ = 20%, T = 1)
r=0.0
r=0.02
r=0.05
r=0.08
0.8
0.7
0.6
0.5
0.4
0.3
0.2
0.1
0.0
6
8
10
12
14
spot S (K = 10)


At-the-money premium vs maturity
r=0.02, S=K
r=0.05, S=K
0.5
0.4
0.3
0.2
0.1
0.0
0
2
4
6
8
10
maturity T